

of the real-time cost index is not based on a specified order size. It is derived from aggregated (estimated) overall buying and selling pressure. The real-time cost index provides investors with the expected cost they should have incurred by trading over the specified trading horizon.

For example, if the customer buy order size is 5% ADV but there are additional incremental buyers in the market comprising an additional 30% ADV in aggregate, market impact will be representative of an order of +35% ADV not +5% (e.g., $+30\% + 5\% = 35\%$). If the customer buy order is 5% ADV but there are incremental sellers in the market comprising an additional -30% ADV in aggregate then market impact will be representative of an order of -25% ADV and not +5% ADV (e.g., $-30\% + 5\% = -25\%$). Actual impact cost is a function of aggregated market imbalance and actual market conditions.

Traders can use real-time cost indexes to measure and evaluate trading performance in real-time and hold their broker's accountable for trading decisions before the end of the day and while they still have time to revise the trading strategy or change algorithmic parameters. Portfolio managers can use these metrics in an attempt to uncover a mispricing or other potential profiting opportunity.

Let us examine how a real-time cost index can provide insight to hold the broker accountable. Suppose the broker provides a pre-trade cost estimate of 30 bp for the order. But by 1:30 p.m. the cost is already at 80 bp and is 50 bp more than quoted. So the typical scenario is for the buy-side trader to call the broker and ask why the cost is so much higher than the pre-trade estimate. The typical conversation that often follows is that the sell-side trader quotes to the buy-side trader that volatility is up, there is less volume and the market moved away or from us. While all of this may be true, it still does not address whether the +80 bp was justified for these market conditions. The question that should be asked here is: what should the cost be given higher volatility, less volume, and adverse market movement? Should the actual cost given these conditions only be 60 bp and not 80 bp, which would imply that the broker is providing sub-par performance by 20 bp, or should the actual cost in these conditions be 120 bp, in which case the broker would be adding value by 40 bp?

The real-time cost index will provide the expected trading cost given these market conditions and actual aggregate buying and selling pressure. Buy-side firms can easily quote these metrics and push their brokers to do a better job in explaining the issues surrounding actual trade performance. "Volatility is up and the market moved away" simply won't cut it anymore!